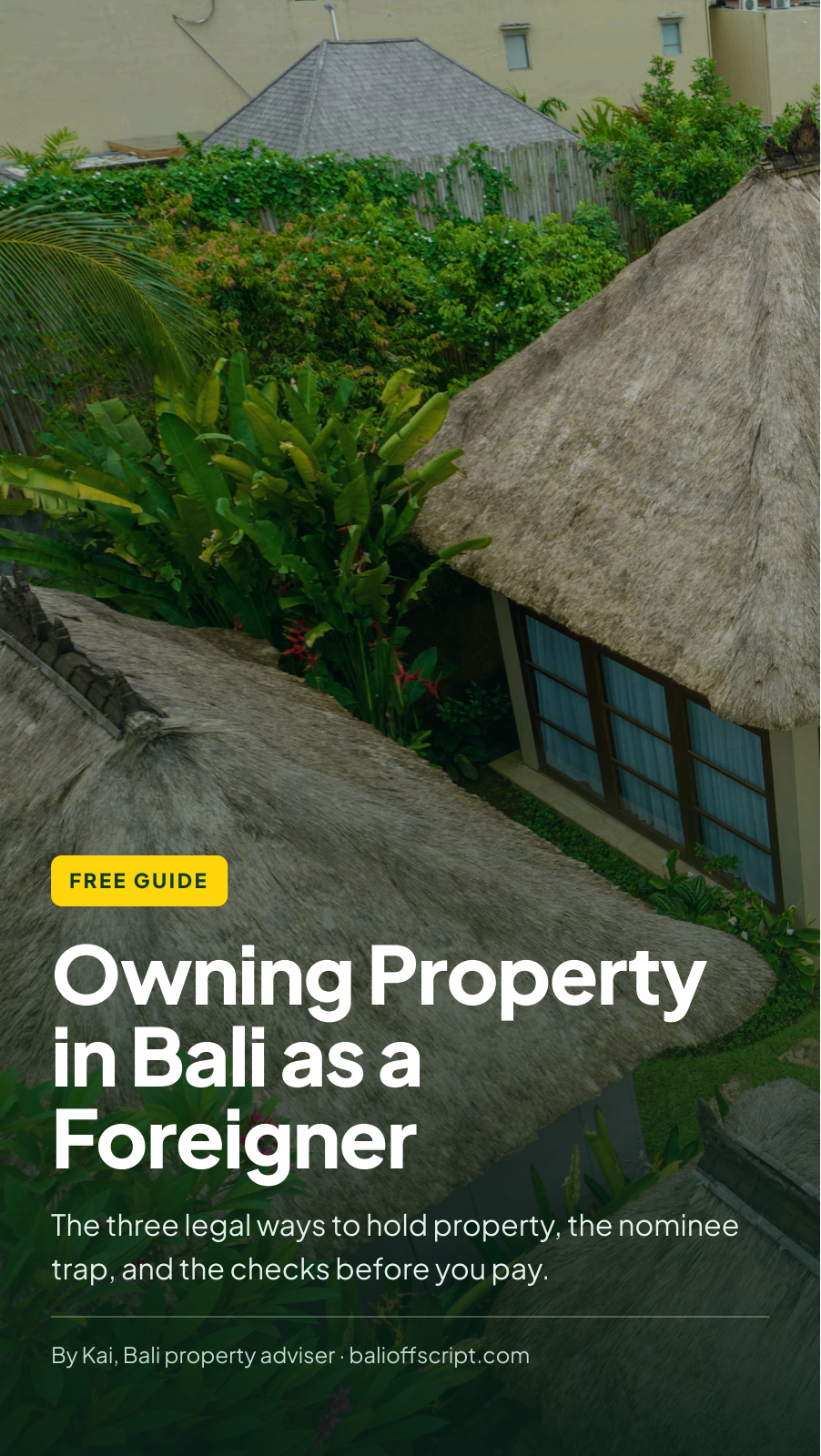


FREE GUIDE

# Owning Property in Bali as a Foreigner

The three legal ways to hold property, the nominee trap, and the checks before you pay.

By Kai, Bali property adviser · balioffscript.com



THE ONE RULE

# Foreigners can't own freehold in Bali.

Freehold (Hak Milik) is for Indonesian citizens only. No structure changes that. Anything sold to you as "freehold" is something else.

**3** legal ways for a foreigner to hold property. Each one works well when the paperwork is clean.

YOUR THREE OPTIONS

# Side by side

### 1. Leasehold

A notarised contract in your own name, usually 25 to 30 years. Any visa, no company, no minimum value. Not registered at the land office.

### 2. Hak Pakai

A registered right of use in your own name. Needs residency (KITAS or KITAP) and a minimum property value. For a home you live in.

### 3. HGB through a PT PMA

A building right held by your own foreign-owned company. For a real business, with yearly accounts, filings and audits.

Most people buying a home or a rental villa start with a well-written lease.

LEASEHOLD

# The lease is only as good as its last page.

1. **At the end, the building goes to the landowner**
   Unless the contract says otherwise. The extension clause carries the value.

2. **80-year leases are built in steps**
   An initial term plus agreed extensions. Read how each extension is priced.

3. **No bank mortgage**
   There's no registered interest to lend against, so most buyers pay cash.

4. **You can only sell if the deed allows it**
   Assignment has to be written in.

5. **Your heirs only inherit if it says so**
   Draft the lease to bind heirs.



THE TRAP

# Never buy through a nominee.

A nominee puts an Indonesian person's name on the certificate, with side contracts that are supposed to protect you.

| | |
|---|---|
| **Void** | Nominee arrangements have no standing in Indonesian law. |
| **4/2026** | Perda Bali 4/2026 prohibits helping to set them up. |
| **Certificate** | If the nominee dies or borrows against it, the name on the paper wins. |

BEFORE YOU PAY ANYTHING

# Six checks, in this order

1. **The certificate**
   Your own notary checks it at the land office (BPN).
2. **The zoning**
   Green zone is farmland. A villa there has no legal footing.
3. **The building approval (PBG)**
   Every structure on the plot needs one.
4. **The fit-for-use certificate (SLF)**
   Without it the building isn't lawfully occupiable and is hard to sell.
5. **Everyone who must sign**
   Spouses and heirs too, not only the person in front of you.
6. **The extension clause**
   A price and a process, not "to be discussed".

THE TAX SIDE

# What you pay, in short

| | |
|---|---|
| Rental income, resident | **10% final** |
| Rental income, non-resident | **20%** |
| Accommodation tax on stays | **10%** |
| Land and building tax (PBB) | **0.1–0.5%/yr** |
| When you sell | **2.5% of value** |

If a seller says the papers come after the deposit, that tells you everything.

WHAT I DO FOR YOU

# You don't have to do this alone.

I'll tell you which of the three routes fits your plan, find the property and check every document before any money moves.

1. **I find the land**
   In the area and budget that fit your plan, with the zoning checked first.
2. **I find the right property or project**
   Built, off-plan or land to build on. I look at all of them, so you see the honest options.
3. **I check everything before you pay**
   Certificate, zoning, permits, the lease clauses and the seller.
4. **I stay with you to the notary**
   Questions answered straight, in plain words, until the keys are yours.

**WhatsApp me: +44 7441 340188**

Tell me the area, your budget and your timing, and I'll tell you what I would check first. This guide is general information, not legal or tax advice. Rules change: verify with your own notary before you sign.